

Notice from the National Commission for Data Protection regarding
Bill No. 8250 concerning sub-metering and the allocation of costs for heating, cooling, and hot water,
and
the draft Grand-Ducal regulation concerning sub-metering and the allocation of costs for heating,
cooling, and hot water, and amending the Grand-Ducal regulation of June 13, 1975, prescribing the
implementing measures of the law of May 16, 1975, on the status of co-ownership of buildings
Deliberation No. 10/AV5/2024 of February 23, 2024

In accordance with Article 57.1.e) of Regulation (EU) 2016/679 of April 27, 2016, on the protection of
natural persons with regard to the processing of personal data and on the free movement of such data,
and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the
"GDPR"), to which Article 7 of the law of August 1, 2018, organizing the National Commission for Data
Protection and the general regime on data protection refers, the National Commission for Data
Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in
accordance with the law of the Member State, the national parliament, the government, and other
institutions and bodies regarding legislative and administrative measures relating to the protection of
the rights and freedoms of natural persons with regard to processing."

Furthermore, Article 36.4 of the GDPR states that "[m]ember states consult the supervisory authority in
the context of the preparation of a legislative proposal to be adopted by a national parliament, or a
regulatory measure based on such a legislative measure, which relates to processing."

By letter dated September 11, 2023, the Minister of Energy and Spatial Planning invited the National
Commission to express its opinion on Bill No. 8250 concerning sub-metering and the allocation of
costs for heating, cooling, and hot water (hereinafter referred to as the "Bill") which had already been
submitted on June 14, 2023, to the Chamber of Deputies and for which priority processing had been
requested from the CNPD.

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State. It should be noted that at the same time, a draft grand-ducal regulation¹ aimed at implementing
certain provisions of the draft law had been submitted without the CNPD being consulted for an
opinion. Therefore, it is self-seizing for the draft grand-ducal regulation in order to share its
observations.

3. The draft law aims to transpose into national law Directive (EU) 2018/2002 of the European
Parliament and of the Council of December 11, 2018, amending Directive 2012/27/EU on energy
efficiency, which establishes a common framework of measures for the promotion of energy efficiency
within the Union. It follows from the explanatory memorandum of the draft law that Directive (EU)
2018/2002 imposes "on Member States the obligation to create a new legal framework that makes the
metering of the consumption of certain types of energy at the individual units of a collective building
mandatory." The objective pursued is to encourage end users, by regularly providing information on
their actual energy consumption, to achieve energy savings through behavioral change.

4. This opinion will not comment on the aforementioned directives but will limit itself to examining the
provisions of the draft law as well as the draft grand-ducal regulation that concern their concrete
implementation in national law with an impact on the protection of personal data.

1. General Observations

5. It should be recalled that the information collected by thermal energy meters constitutes personal

data if it can be linked to an identified or identifiable natural person. Already during the national deployment of smart meters, the National Commission had, while recognizing the advantages brought by these meters, warned against the risks that could arise for the protection of privacy². For example, the analysis of the collected data allows for the deduction of a large number of information about the living habits of the individuals concerned, such as wake-up and bedtime, periods of absence, the number of people present in the dwelling, or even, in specific cases, the type of devices used.

1 Draft grand-ducal regulation concerning sub-metering and the allocation of costs for heat, cold, and hot water, and amending the grand-ducal regulation of June 13, 1975, prescribing the implementing measures of the law of May 16, 1975, concerning the status of co-ownership of buildings (hereinafter referred to as the "draft grand-ducal regulation").

2 <https://cnpd.public.lu/fr/actualites/national/2014/05/smart-metering-lux-metering.html>.

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Particularly, the CNPD had issued an opinion on what would become the Grand-Ducal Regulation of August 27, 2014, concerning the modalities for the measurement of electrical energy and natural gas, a text enacted in execution of the amended laws of August 1, 2007, relating to the organization of the electricity and natural gas markets. Regarding the processing carried out from the data collected by smart meters, the CNPD notably emphasized the importance of determining the responsible party or parties for the processing as well as the purposes for which the data is processed, along with a proportionate retention period. It must be noted that these remarks remain valid for the text currently under review (See points 10, 12, and 24 of this opinion).

The National Commission also wonders how the draft law aligns with the aforementioned laws of August 1, 2007, as well as with the texts enacted in their execution. There is also the question of a risk of overlap and contradiction between the proposed law and the various existing texts.

II.

On the installation of measuring devices

According to the understanding of the CNPD, the draft law provides for the deployment of three different types of measuring devices, namely:

1. The meters referred to in point 1° of Article 2.1, which are installed by the network operator at the connection point of each end customer;
2. The individual meters referred to in point 2° of Article 2.1, which are installed in collective buildings by the owner or, in the case of a co-ownership, by the property manager at the connection point of the private units. These individual meters are installed if the occupants of the private units do not have a direct contractual relationship with the energy supplier and are therefore not end customers;
3. The heating cost allocators referred to in Article 5, which are installed in collective buildings by the owner or, in the case of a co-ownership, by the property manager if the installation of individual meters is not technically feasible or economically justified.

To the knowledge of the CNPD, energy contracts and the associated meters are generally signed and assigned in the name of the tenant or the end occupant, including in the case of co-ownership. We do not know if any exceptional cases might still exist on the territory of the Grand Duchy of Luxembourg, particularly since the installation and deployment of smart meters.

3 Deliberation No. 566/2013 of December 13, 2013, of the National Commission for Data Protection, available at <https://cnpd.public.lu/fr/decisions-avis/2015/comptage-energie-gaz.html>

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of smart meters and, consequently, that all the scenarios mentioned above under the list of point 8 of this notice are likely to reflect the reality of the national legal situation.

9. If the draft law clearly indicates who is responsible for the installation of the various measuring devices, it remains silent regarding the different data processing operations that will be carried out under the text. Thus, the draft law does not provide any indication of the person who carries out the readings of the various measuring devices nor of the person considered responsible for the different resulting data processing.

10. Regarding the installation of meters by network managers, it follows from paragraph 3 of Article 3.1 of the draft law that these managers must provide end customers with information "regarding the collection and processing of personal data in accordance with data protection and privacy legislation." The CNPD assumes that this provision refers to the obligation of transparency incumbent upon the data controller under Articles 12 and following of the GDPR, so it can be inferred that network managers are to be considered as data processors. However, for reasons of legal certainty, it would be preferable for the draft law to expressly determine who is the data controller. Indeed, the notion of data controller plays an important role in the application of the GDPR as it determines who is responsible for the various rules regarding data protection, such as the security of processing, as well as how data subjects can exercise their rights. In the absence of clarity regarding the designation of the data controller, the question arises regarding the attribution of responsibility for implementing the technical and organizational measures as provided for by Article 24 of the GDPR.

11. In this context, it should be noted that the obligation to provide information regarding the processing of personal data, during the installation of meters, is only stated for network managers, and not for owners or property managers in the case of a co-ownership, during the installation of individual meters as mentioned in Article 3.2 of the draft law. This approach raises questions, given that owners and property managers could then be considered responsible for the processing concerning the data collected by individual meters and heating cost allocators if one adheres literally to the text of the draft law and the scenarios such as mentioned.

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that are stated in the second and third bullet points of item 8 of this notice. As previously stated, the CNPD questions whether these exceptional cases still reflect the reality of the current national legal situation. Assuming such exceptions exist, the CNPD wishes to remind that owners and property managers would also have an obligation of transparency towards the individuals concerned in accordance with Articles 12 and following of the GDPR.

12. The text under review is also silent on the categories of data collected, the purposes pursued, the duration of retention, or the recipients to whom the data may be communicated. This lack of precision is all the more regrettable given that the data collected by the various measuring devices is likely to provide a very detailed view of the personal consumption habits of the individuals concerned. More

specifically, in the absence of a clear determination of the purposes, there is an increased risk that the owner may use the collected data related to the energy consumption of the occupants—when the latter are not directly contractually linked to the energy supplier, assuming that such an exceptional legal situation may exist in Luxembourg—for purposes that are not compatible with the objective pursued by the directive that the draft law intends to transpose. To recall, this relates to the allocation of energy costs based on actual consumption and the regular provision of information on actual energy consumption so that occupants can achieve energy savings through behavioral change. Thus, the principle of purpose limitation enshrined in Article 5.1.b) of the GDPR generally opposes the owner using this data for purposes other than those related to mere information regarding the energy efficiency of the occupants.

III. On the provision of information regarding consumption and billing

13. According to Article 2.3 of the draft law, “[s]uppliers as well as owners or, in the case of co-ownership, property managers are subject to obligations to provide data and information related to billing and consumption in accordance with the provisions of Article 11.” As for the meters installed by network managers, the obligation to provide the data lies with the supplier and not with the network manager, which seems to imply a transmission of data between the network manager and the supplier.

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Supplier. It is regrettable that the draft bill does not clearly indicate which data is transmitted and for what purposes.

14. Article 11 of the draft bill specifies the obligations to provide information referred to in Article 2.3. Article 11.1 applies to the relationship between the supplier and the end customer and does not raise any particular observations from the CNPD regarding data protection. By way of indication, the CNPD wishes to mention that Article 7.1.4° of the draft Grand-Ducal Regulation provides, as part of the minimum information to be included in the invoice or in the documents provided simultaneously, a simple reference to generic and non-targeted contact details of consumer advocacy associations, energy agencies, or similar bodies. However, point 9.3 of the recommendation (EU) 2019/1660 of the European Commission dated September 25, 2019, regarding the implementation of the new provisions of Directive 2012/27/EU on energy efficiency in terms of measurement and billing (hereinafter the "recommendation (EU) 2019/1660") mentions the interest for Member States transposing the new Annex Vit bis to indicate "any mediation or extrajudicial dispute resolution services that are legally competent to handle complaints and disputes related to metering, sub-metering, billing, and cost allocation" so that suppliers or other actors can also include this data on invoices.

15. Paragraphs 2 and 3 of Article 11 apply to situations where the occupants are not end customers. Assuming, as previously stated, that such a legal situation still exists on national territory, these provisions stipulate that the owner or, in the case of co-ownership, the property manager must provide an assessment note containing information related to billing or consumption based on actual consumption or readings from heating cost allocators, as well as an information note on heat, cold, and hot water consumption to the occupants of the private units.

16. In this regard, it should be noted that the directive states that it is up to the Member States to decide who should be responsible for providing information to end users without a direct or individual contract with an energy supplier. The recommendation (EU) 2019/1660 specifies in point 7.2 that "the entities best placed to inform end users will vary according to national circumstances and specific rental situations. Potential candidates...

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can be the owners of the building, its managers, a management company or a delegated service provider, homeowners' associations, etc." In light of the risks that may arise for the protection of privacy, the National Commission considers that situations in which this burden falls on the owners - assuming that these reflect the reality of the legal context at the national level - should remain exceptional.

17. Regarding the information note referred to in Article 11.3 of the draft law, the minimum information to be included is listed in Article 7.2 of the draft Grand-Ducal Regulation, including notably the comparison of current energy consumption with "the consumption of the private unit for the same period during the previous year (...)." It follows that this comparison may contain information relating to a third party, namely the previous occupant of the private unit. The CNPD expresses doubts about the compliance of this provision with Directive 2012/27/EU as amended by Directive (EU) 2018/2002. According to point 3.c) of Annex VII bis of this directive, Member States ensure that final users have "the comparison of the current energy consumption of the final user with their consumption for the same period during the previous year (...)." Recommendation (EU) 2019/1660, in its point 9.3.1., is clear: "Given the requirements regarding data protection and privacy (see also point 7.5), this requirement should be interpreted as applying only to information relating to the energy consumed by the current occupant, namely the same final user who must be able to access the information." Therefore, Article 7.2.3°a) of the draft Grand-Ducal Regulation risks being contrary to both Directive 2012/27/EU as amended by Directive (EU) 2018/2002 and the principle of data minimization established in Article 5.1.e) of the GDPR.

18. Similarly, Article 7.2.3°b) of the draft Grand-Ducal Regulation may not respect the spirit of the European reference text while raising issues related to the protection of personal data. This article provides for the possibility of comparing the consumption of the user of the private unit with "the consumption of a reference final user determined based on the average consumption of the private units of the concerned building." Assuming that a small building is involved, for example, a building that contains two private units, and that the average consumption of this building is then communicated to the final user, the latter could easily deduce,

8 See point 5 of this opinion.

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indirectly, the consumption of the other occupant(s) of the second private unit concerned.

19. Article 11.3, paragraphs 2 and 3, of the bill under review provides for the procedure to be followed for the transmission of the information note in the case of co-ownership. Thus, in such cases, the property manager transmits this note to the co-owners who will then forward it to the tenants of the concerned private units, in other words, the occupants. As raised in point 16 above, the CNPD believes that the cases in which it is the responsibility of the owners to provide information to end users without a direct or individual contract with an energy supplier - assuming that this latter situation reflects the practical reality of the legal context at the national level - should, as far as possible, remain an exception. In the absence of any clarification regarding the purposes of processing by the bill, there

is also an increased risk of reusing the consumption data of tenants by the owner for purposes incompatible with those provided for by Directive (EU) 2018/20229.

20.

Furthermore, the CNPD questions whether the provision that the property manager transmits the information note to the co-owners, who in turn will forward it to the occupants, might not contradict the terms of Article 2.3 of the bill. While referring to Article 11, Article 2.3 of the bill specifies that in the case of co-ownership, it is the responsibility of the property managers, and not the co-owners, to make available the data and information related to billing and consumption. In the view of the National Commission, the bill presents some ambiguity regarding the person responsible, in the case of co-ownership, for communicating consumption data to tenants and, consequently, regarding the determination of the data controller and the obligations arising from this qualification. In order to limit the number of actors having access to consumption data and to avoid any potential inconsistency in the text, the CNPD wonders whether it would not be more appropriate to uniformly provide in the text that the property manager directly transmits the information note to the concerned final occupant, as is also the case for the assessment note referred to in Article 11.2 of the bill.

21.

According to the concordance table of the bill, Article 11.4, paragraph 1, of the bill transposes Article 106/s. 2.d) of the consolidated version of Directive 2012/27/EU which provides for! Cf. point 12 of this opinion.

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that "the Member States promote cybersecurity and ensure the protection of data and the privacy of end users in accordance with the applicable provisions of Union law." The recommendation (EU) 2019/1660 specifies, in its point 7.5 titled "Data Availability and Privacy," in the last paragraph, that "[i]f this provision [i.e., the aforementioned Article 10b/s. 2.d)] does not add any specific obligation beyond those already applicable under Union law (such as the General Data Protection Regulation), it emphasizes that cybersecurity, respect for privacy, and data protection are issues that also apply in the context of measures, sub-metering, remote reading, and billing of thermal energy."

22. Upon reading Article 11.4, paragraph 1, of the draft law, it must first be noted that only the mention of a "secured" personal space on the Internet is provided without any further indication in this regard, particularly concerning the person or entity responsible for its establishment or regarding security measures. The CNPD then understands that by referring to paragraph 2, the authors of the draft law also intend to confer the possibility of opting for this means of electronic communication to the occupants of the private units receiving consumption information from the owner or the property manager. This raises the question of whether, in cases where the occupants are not directly contractually linked to the energy supplier—assuming this legal situation still exists at the national level—it is the responsibility of the property manager, or even the owner, to set up such an online platform, which would constitute a considerable burden.

In the comments on Article 11 of the draft law, it is indicated that the wording "through a secured personal space on the Internet" has been borrowed from the French Energy Code, and more specifically from Article L741-2 of the latter. However, this same article regulates the provision of invoices on a durable medium other than paper, notably through a secured online space. This is ensured by the supplier within the framework of a subscription contract to a heating and cooling network with its subscriber, who must also be informed of this. This contractual relationship as referred to by the French text is therefore distinct from that in which the occupant, who is not the final customer, receives information regarding their consumption from the property manager or the owner—assuming

this exceptional situation still exists at the national level—hence the CNPD's questioning regarding the reference in Article 11.4, paragraph 1, to paragraph 2 of Article 11.

23. Furthermore, the National Commission questions the extent of the information referred to by this space and, a fortiori, the type of personal data concerned. Upon reading Article 11.4 of the draft law, it seems that the information note as mentioned by Article 11.3 is not included.

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As a result, would the invoice and the assessment note be the only documents concerned by this secure space? The CNPD believes that the provision of information online would require more precision from the authors of the draft law.

24. Even if no specific obligation regarding data protection is added by the directive to be transposed, the recommendation (EU) 2019/1660 still emphasizes the importance of complying with the provisions already in force, such as the GDPR. However, it seems that the draft law does not meet the requirements related to the application of the GDPR rules, particularly the provisions of Article 6.3. In this case, the processing of consumption data would be necessary to comply with a legal obligation created by the draft law under review, in accordance with Article 6.1.e) of the GDPR. Article 6.3 of the GDPR, which specifically concerns this legal basis, provides that "the purposes of the processing are defined in this legal basis" and that specific provisions may be included "to adapt the application of the rules of this regulation, among others: the general conditions governing the lawfulness of the processing by the data controller; the types of data subject to processing; the data subjects; the entities to which personal data may be communicated and the purposes for which they may be communicated; the limitation of purposes; the retention periods; [...]". The CNPD regrets that the draft law does not contain such provisions.

25. The National Commission finally notes that certain legislations from other Member States in the energy sector particularly emphasize the importance of data protection, such as the Walloon Belgian decree of October 15, 2020, concerning the organization of the thermal energy market and thermal energy networks, which provides a section entirely dedicated to the protection of privacy. This section specifically qualifies the various actors involved based on the processing and emphasizes the importance of respecting the chosen purposes and the limited retention period.

10 Cf. points 6, 10, and 12 of this opinion.

11 <https://wallex.wallonie.be/eli/loi-decreV2020/10/15/2020204339>

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Thus adopted in Belvaux on February 23, 2024.

For the National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

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Alain Herrmann
Commissioner

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